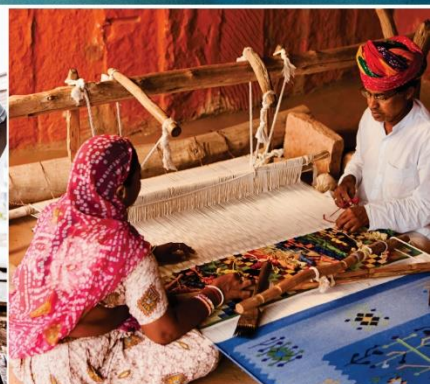




NITI Aayog

DRAFT



POLICY AT A GLANCE

Cluster development

2023-MSME-PAG-02

DRAFT

Policy at a glance

Cluster development

MSME

The '**Policy-at-a-Glance**' provides users with curated information for first-level analysis and inter-state comparisons of policy. The document brings together all topic-relevant national and state-level acts, policies, and schemes in one place. Further, it identifies for a reader what policy features are covered in which document in a simple table.

The first section of this document sets out some '*Context and Background*' on the topic; the subsequent sections explain the '*Policy Features*' that have been compared and include a '*Glossary*' of technical terms used; the last section is the '*Table of Insights*' that marks out what '*Policy Feature*' has been covered (and on which page) in each of the topic-relevant documents.

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Context and background

The central government has initiated various schemes to nurture micro, small and medium enterprise (MSME) clusters, enhance their productivity and competitiveness, and facilitate collaboration. The schemes provide infrastructure support and spur capacity building, market development and adoption of sustainable practices.

A few states have also introduced their own MSME cluster development policies, with each state having its distinct features and priorities. The level of support for hard and soft interventions (explained in the next section) and assistance for women entrepreneurs and marginalised communities varies across states.

The Micro and Small Enterprises¹ Cluster Development Programme (MSE-CDP) initiated by the Centre has developed 98 common facility centres (CFCs) as of December 2023. Tamil Nadu and Maharashtra have participated actively, with a significant number of CFC projects addressing cluster-based needs. Additionally, around 210 infrastructure development (ID) projects have been developed as of December 2023, with many ID projects taking shape in Tamil Nadu, Rajasthan and Haryana.

The Scheme of Fund for Regeneration of Traditional Industries (SFURTI)², facilitated by nodal agencies such as the Coir Board, the Khadi and Village Industries Commission and Council of Handicrafts Development Corporations, has approved 513 clusters across 29 states. Of these, 324 clusters are benefiting 298,580 artisans as of December 2023. States with a higher concentration of traditional industrial clusters, such as Odisha, Uttar Pradesh and Madhya Pradesh, have made significant efforts to empower artisans and develop and modernise their industries.

The cluster development programmes include two categories of interventions: 'hard' and 'soft'. The facilities provided through these programmes play a crucial role in a cluster's success.

Policy features

- **Fund for hard intervention:** Hard intervention programmes and initiatives typically refer to tangible and material efforts to improve infrastructure, facilities and other physical aspects of the clusters. These efforts may include the creation of **CFCs, infrastructure development, procurement of machinery, working capital and raw material banks, tools and technological upgradation, warehousing facilities, training centres, design centres, testing facilities, research and development centres, effluent treatment plants, marketing display or selling centres and common logistics centres.**

The Centre provides financial assistance of up to 80% of project cost, with a cap of Rs 30 crore through the MSE-CDP scheme and up to 90% of total project cost with a limit of Rs 5 crore under SFURTI. State-provided financial mechanisms are strategically designed to develop and expand MSME clusters within their regions. The Gujarat and Haryana governments Mini Cluster Development Scheme offer financial aid of up to 90% of total project cost for hard interventions within MSME clusters, with a maximum threshold of Rs 5 crore. However, states such as Kerala and Maharashtra, through their CDP schemes, allocate up to 80%, with a cap of Rs 5 crore.

- **Fund for soft intervention:** Soft intervention under the Cluster Development Outreach programme includes non-physical and non-material actions or measures to address

¹ MSME Dashboard

² SFURTI Cluster till Date

challenges faced by MSMEs. These actions promote cluster development by focusing on enhancing the capabilities, skills, knowledge and collaborative efforts of the cluster members.

For instance, the SFURTI scheme covers 100% of the soft intervention costs (not exceeding 10% of the hard intervention amount) capped at Rs 25 lakh. In comparison, Gujarat, Maharashtra and Haryana offer meaningful support, covering up to 90% of soft intervention expenses, with a maximum limit of Rs 10 lakh. Kerala provides assistance of up to Rs 5 lakh for soft interventions.

- **Support for women entrepreneurs:** Support for women entrepreneurs under MSE-CDP aims to addresses gender-specific challenges and promote inclusivity. By providing financial assistance, capacity building, market access and advocacy, the CDP initiatives contribute to the economic empowerment of women entrepreneurs and their meaningful participation in cluster-based activities.

For its part, the central government has undertaken several initiatives to empower women by mandating the inclusion of at least one woman member while forming clusters. It also provides financial incentives for clusters with a higher female population through the SFURTI and CDP schemes. In line with this, the Maharashtra CDP policy offers 100% financial assistance to clusters where more than 50% of the units are owned by women. Similarly, the Gujarat CDP policy extends 90% monetary assistance, of up to Rs 4.5 crore, to clusters with 50% or more women-owned MSEs.

- **Support to marginalised communities:** The Centre has implemented measures to provide assistance to marginalised communities such as the scheduled castes (SCs), scheduled tribes (STs), other backward classes and the lesbian, gay, bisexual, transgender, queer/questioning and intersex community. Through the SFURTI and CDP schemes, the government has mandated the inclusion of members from marginalised communities while forming clusters. Clusters with more than 50% of the members belonging to marginalised communities will receive incentives.

Likewise, under the Gujarat CDP policy, 90% state assistance is provided, capped at Rs 4.5 crore, for clusters where 50% or more of the MSEs are owned by SC/ST communities.

1. Table of insights

 Geography	 Policy name	 Category	 Fund for hard interventions	 Fund for soft interventions	 Support for women entrepreneurs	 Support to marginalised communities
India	Micro & Small Enterprises Cluster Development Programme (MSE-CDP)	Micro and small	✓ (Pg.3)		✓ (Pg.8)	✓ (Pg.8)
India	Scheme of Regeneration of Traditional Industries (SFURTI)	MSME (traditional industries and artisans)	✓ (Pg.26)	✓ (Pg.26)	✓ (Pg.53)	✓ (Pg.53)
Kerala	Kerala State Sponsored Cluster Development Programme (SS-CDP), 2022	Micro and small	✓ (Pg.4)	✓ (Pg.4)		
Maharashtra	Maharashtra State Industrial Cluster Development Programme (MSICDP)	Micro and small	✓ (Pg.1)	✓ (Pg.1)	✓ (Pg.13)	
Gujarat	Guidelines for mini cluster development, 2021	Micro and small	✓ (Pg.2)	✓ (Pg.2)	✓ (Pg.2)	✓ (Pg.2)
Haryana	Haryana Mini Cluster Development Scheme for MSMEs, 2021	Micro and small	✓ (Pg.3)	✓ (Pg.3)		

Note: We have covered central and state-wise MSME-specific cluster development schemes. Kindly note that MSME cluster development policies are in effect only in the states listed above. Aspects covered under hard and soft interventions are similar across all states.

